पंजाब नैशनल बैंक
अनुपालन प्रभाग, प्रधान कार्यालय
PUNJAB NATIONAL BANK
COMPLIANCE DIVISION, HEAD OFFICE

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HO/CD/ RKJ/ /2024-25/ **28-08-2024**

For Approval,

Group Chief Compliance Officer

General Manager

Subject: Compliance Assessment – Master Direction on Certificate of Deposit

1. Background

As per RBI's Risk Mitigation Plan (RMP), the Bank is required to enhance its Compliance function in the following ways:

1.1. Establish a structured mechanism, involving compliance officials, to ensure timely implementation of regulatory guidelines.
1.2. Conduct regular compliance testing to verify adherence to current regulatory guidelines and supervisory feedback.
1.3. Considering these directives, we have commenced comprehensive evaluation of how various divisions are implementing RBI's Master Directions. Accordingly, a compliance assessment has been undertaken on the captioned RBI's Master Directions. KCI wise observations is depicted in

2. Reference Used

S No.	Title	Circular No.
a)	Master Directions on Certificate of Deposit	RBI/2021-22/79 FMRD.DIRD.03/14.01.003/2021-22 dated 04.06.2021

3. Scope of the Assessment

Following aspects were shortlisted for assessment/testing for the captioned assessment:

i. Primary issuance
ii. Discount/Coupon rate
iii. Secondary issuance
iv. Loan against CDs
v. Buyback of CDs/Repayment of CDs
vi. Market practice & documentation
vii. Reserve Requirement
viii. Reporting Requirement

4. Key Compliance Indicators (KCI)

We have analysed the captioned Master direction and KCIs (Key Compliance Indicators) as mentioned hereunder containing the Direction issued by RBI and observations is based on the data dump for the period 01.04.2023 to 31.07.2024 and division confirmation.

In this regard, the assessment is conducted on the following KCIs.

S. No.	Key Compliance Indicator (KCI)	RBI/2021-22/79 FMRD.DIRD.03/14.01.003/2021-22 dated 04.06.2021	Observation
1.	**Primary issuance-** (i) CDs shall be issued only in dematerialised form and held with a depository registered with Securities and Exchange Board of India. (ii) CDs shall be issued in minimum denomination of ₹5 lakh and in multiples of ₹5 lakh thereafter. (iii) The tenor of a CD at issuance shall not be less than seven days and shall not exceed one year. (iv) CDs shall be issued on a T+1 basis where T represents the date of closure of the offer period for issuance of the CDs.	{5.a} Page 4	(i) As per the data dump analysis, ISIN allotted to CDs which indicates that CDs held with a depository registered with SEBI as dematerialised form. (ii) From 01.04.2023 to 31.07.2024, total amount raised through CD was Rs. 1,886,300,000,000 and total 37,72,600 CDs were issued during this period which clarify that CDs were issued in multiple of 5 Lakh. (iii) From 01.04.2023 to 31.07.2024, Min. tenor of CD is 15 days while max. tenor is 365 days. (iv) As per the data dump analysis, CDs were issued on T+1 basis. **(Annexure-I)**

S. No.	Key Compliance Indicator (KCI)	RBI/2021-22/79 FMRD.DIRD.03/14.01.003/2021-22 dated 04.06.2021	Observation
			Hence no regulatory gap observed.
2.	**Discount/coupon rate-**CDs may be issued at a discount to the face value. CDs may also be issued on a fixed / floating rate basis provided the interest rate on the floating rate CD is reset at periodic rests agreed to at the time of issue and is linked to a benchmark published by a Financial Benchmark Administrator or approved by the Fixed Income Money Market and Derivatives Association of India (FIMMDA) for this purpose. FIMMDA shall ensure that any floating rate approved by them for this purpose is determined transparently, objectively and in arm's length transactions.	{5.b} Page 4	As per the data dump analysis, CDs were issued at discount to face value at fixed rate and No CD were issued on floating rate during the same period. **(Annexure-I)** **Hence no regulatory gap observed.**
3.	**Secondary market** - trading venues and settlement (i) CDs shall be traded either in Over-the-Counter (OTC) markets, including on Electronic Trading Platforms, or on recognised stock exchanges with the approval of the Reserve Bank. (ii) The settlement cycle for OTC trades in CDs shall be T+0 or T+1. (iii) All secondary market transactions in CDs shall be settled on a DvP basis through the clearing corporation of any recognized stock exchange or any other mechanism approved by the Reserve Bank.	{5.c} Page 4	(i) As per the division confirmation & data dump, secondary market transaction in CDs traded in Over-the-Counter (OTC) market and reported through F-TRAC. (ii) As per the data dump analysis, settlement cycle for trades in CDs was either T+0 or T+1 basis. (iii) As per the division confirmation, secondary market transaction in CDs settled on DvP basis in Over-the-counter market. **(Annexure-II)** **Hence no regulatory gap observed.**

S. No.	Key Compliance Indicator (KCI)	RBI/2021-22/79 FMRD.DIRD.03/14.01.003/2021-22 dated 04.06.2021	Observation
4.	**Loans against CDs -** Banks are not allowed to grant loans against CDs, unless specifically permitted by the Reserve Bank.	{5.d} Page 4	As per the data dump analysis, no loan against CDs were granted. **(Annexure-I)** **Hence no regulatory gap observed.**
5.	**Buyback of CDs /Repayment of CD-** Issuing banks are permitted to buyback CDs before maturity. Buyback of CDs shall be subject to the following conditions: (i) Buyback of CDs can be made only 7 days after the date of issue of the CD; (ii) The buyback offer shall be made to all investors in a particular CD issue on identical terms and conditions. The investors shall have the option to accept or reject the buyback offer; (iii) Buyback of CDs shall be at the prevailing market price; and (iv) CDs bought back, partially or in full, shall be extinguished. There will be no grace period for repayment of CDs.	{5.e, 5.g} Page 4	As per the data dump analysis, bank has never buyback its CDs. **(Annexure-I), (Annexure-IV)** **Hence no regulatory gap observed.**
6.	**Market practices and documentation** Eligible participants and agencies in the CD market shall follow the standardised procedures and documentation which may be prescribed by FIMMDA, in consultation with the Reserve Bank, for operational flexibility and smooth functioning of the markets.	{5.h} Page 5	Division confirm that they follow the procedures and documentation prescribed by FIMMDA and SOP attached. **(Annexure-III), (Annexure-IV)** **Hence no regulatory gap observed.**
7.	**Reserve requirements-** Reserve requirements in respect of the CDs issued by banks shall be governed by relevant regulations of the Reserve Bank.	{5.i} Page 5	Division confirmed that reserve requirement does not pertain to them. **(Annexure-IV)**

S. No.	Key Compliance Indicator (KCI)	RBI/2021-22/79 FMRD.DIRD.03/14.01.003/2021-22 dated 04.06.2021	Observation
8.	**Reporting requirements- (a) Primary issuance-** Details of primary issuance of a CD shall be reported by the issuer to the Trade Repository (TR), i.e., Financial Market Trade Reporting and Confirmation Platform ("F-TRAC") of the Clearing Corporation of India Ltd. (CCIL) by 5.30 PM on the day of issuance or as decided by the Reserve Bank from time to time.	{6.a} Page 5	Division has confirmed that details of primary issuance of a CD reported on same day of issuance to the F-TRAC. **(Annexure-V)** **Hence no regulatory gap observed.**
9.	**Reporting requirements- (b) Secondary market transactions-** All secondary market transactions executed in OTC market and/or on the recognised stock exchanges in CDs shall be reported, with time stamp, within 15 minutes of execution (the time when price is agreed) on the F-TRAC platform by each counterparty to the transaction.	{6.b} Page 5	Division has confirmed that secondary market transaction has been reported within 15 minutes with time stamp to F-TRAC. **(Annexure-VI)** **Hence no regulatory gap observed.**
10.	**Reporting requirements- (c) Buyback transactions-** Details of the buyback of a CD shall be reported by the issuer on the F-TRAC platform by 5.30 PM on the day of buyback.	{6.c} Page 6	As per the data dump, bank has never buyback its CDs and Divisional confirmation of Nil reporting received. **(Annexure-IV)** **Hence no regulatory gap observed.**
11.	**Reporting requirements (d) Reporting by depositories-** The depositories shall report to the Reserve Bank, the details of the CDs held with them in the dematerialised form, in the prescribed format furnished in Annex I, at fortnightly intervals (on the 15th day and on the last day of the month) and as and when called upon to do so by the Reserve Bank.	{6.d} Page 6	The mentioned reporting requirement does not pertain to bank. These are for depositories.

5. Findings

Based on the data dump analysis, division confirmation and review of documentary evidence, no regulatory gap has observed in the captioned master direction. We may share our findings to the treasury division for future reference.

Submitted for approval, please

(Roshan Kumar Jangid)
Manager

(V. Vamsee Mohan)
Asstt. General Manager